Orientation Note

Which Part of the Syllabus is Covered in this Chapter?

In this chapter, we will be covering the following part of the syllabus (highlighted in green):

RBI Grade B exam syllabus –

Paper -III - General Finance and Management:

a) **Financial System**

1. Structure and Functions of Financial Institutions
2. Functions of Reserve Bank of India
3. Banking System in India – Structure and Developments, Financial Institutions – SIDBI, EXIM Bank, NABARD, NHB, NaBFID etc.
4. Recent Developments in Global Financial System and its impact on Indian Financial System
5. Role of Information Technology in Banking and Finance
6. Non-Banking System
7. Developments in Digital Payments

b) **Financial Markets**

Primary and Secondary Markets (Forex, Money, Bond, Equity, etc.), functions, instruments, recent developments.

SEBI Grade A exam syllabus -

C. **Finance**

1) **Financial System**
   a) Role and Functions of Regulatory bodies in Financial Sector.

2) **Financial Markets**
   a) Primary and Secondary Markets (Forex, Money, Bond, Equity, etc.), functions, instruments, recent developments.

3) **General Topics**
   a) Basics of Derivatives: Forward, Futures and Swap
   b) Recent Developments in the Financial Sector
   c) Financial Inclusion- use of technology
   d) Alternate source of finance, private and social cost-benefit, Public-Private Partnership
   e) Direct and Indirect taxes; Non-tax sources of Revenue, GST, Finance Commission, Fiscal Policy, Fiscal Responsibility and Budget Management Act (FRBM),
   f) Inflation: Definition, trends, estimates, consequences, and remedies (control): WPI, CPI - components and trends.

What will you study in this chapter?

To cover the syllabus topic as given above, you will be studying the following things in this chapter -

- ***Introduction to the Digital Payment***
- ***What are the benefits of digital payments, challenges and risk associated with Digital Payment***
- ***Digital Payment instruments issued post 2010 – IMPS, NEFT, RTGS and ECS***
- ***Digital Payment instruments issued after 2010 – IMPS, UPI, BHIM, NETC, NACH etc.***
- ***Steps taken by the government to promote digital payments***
- ***Steps taken by the RBI to promote digital payments***

➢ ***Difficulty Level*** – This chapter contains basic concepts related to the recent changes which have taken place in the digital payments space, **that are easy to understand.**

How to approach this chapter for the objective component?

- ***Importance*** – The significance of this chapter is **important** from the examination point of view. Many questions have been asked from this chapter. For reference, you can check the document containing the Previous Year Question (PYQs) of this chapter
- Number of objective questions asked from this chapter are depicted in the following table

Examination Year	RBI Grade B (Phase 2)	SEBI Grade A (Phase 1)	SEBI Grade A (Phase 2)
2016	0	Exam not held	Exam not held
2017	1	Exam not held	Exam not held
2018	1	0	0
2019	0	Exam not held	Exam not held
2020-2021	3	0	0
2022	2	0	0
2023	0	0	0

- ***Note*** – All the concepts taught in this chapter are very easy to comprehend.

- ***Nature of Questions (Conceptual/Factual)*** – The chapter **is very conceptual in nature and very high chances are there that a conceptual question will be asked in exam**. However, factual questions can also be asked.

For example:

Type of Question	Question
Conceptual	Name of the Organization formed in 2007 and responsible for creating a robust payment and settlement infrastructure in the country? **RBI Grade B – Phase 2 – 2021** A. NPCI B. CCIL C. Paytm D. BBPS E. None of the above **Answer – Option A**
Factual	UPI is Monitored by which of the following institution ? **RBI Grade B – Phase 2 – 2018** A. National Payment Corporation of India B. National Payment Management Council C. Reserve Bank of India D. Ministry of Communication and Technology E. None of the above **Answer – Option A**

How to approach this chapter for the descriptive component?

- ***Note*** – The **RBI Grade B** examination had a descriptive pattern of examination from 2007-14. Later on, the same was discontinued in 2015 and reintroduced in the year 2021. However, In the **SEBI Grade A** examination, there is no descriptive pattern and entire paper is objective in nature.
- ***Importance*** – The significance of this chapter is **very high from the examination point of view.** However, seeing the previous year trend, there are very less questions asked in the descriptive component, but we are expecting RBI to ask more questions from this chapter, **therefore we request you to practice multiple descriptive questions from this chapter.**
- Number of Descriptive questions asked from this chapter are depicted in the following table

RBI Grade B Phase 2	
2007-2014	0
2021	0
2022	0

2023	0

- ***Nature of Questions*** -

Type of Question	Question
Static	Write a short note on 1. IMPS 2. UPI 3. RTGS 4. NEFT
Current	Discuss about the recent measures taken by RBI to promote digital payments in the Indian economy.

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